

Creating and Delivering Operational Plans

Lesson 4



Study Information and Tips



This Study Text replicates the video content for the lesson



Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section



Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment



You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments



We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention



If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink

Managing and Leading the Delivery of Operational Plans

**Importance of
communication
and effective task
delegation**

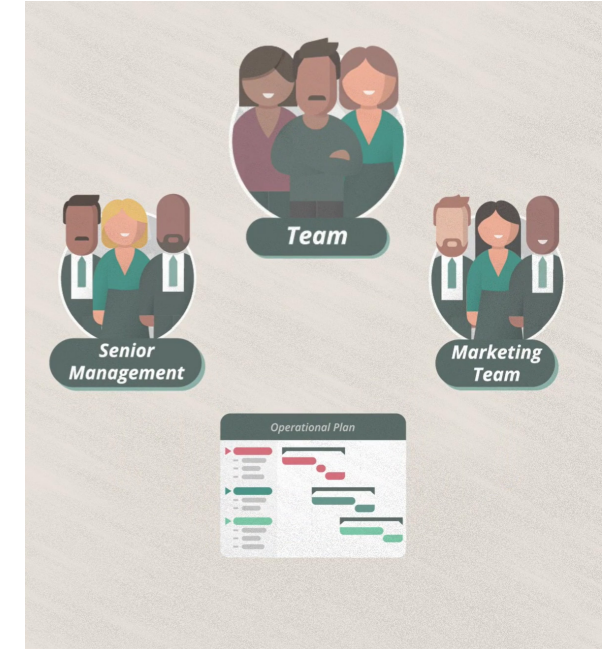
**Monitoring progress
and the role of
feedback**

Implementing the Plan

So far in this unit we've explored how operational plans are created and the context in which they develop.

But the point of the plan is to deliver on its objectives. This can only happen once it is implemented.

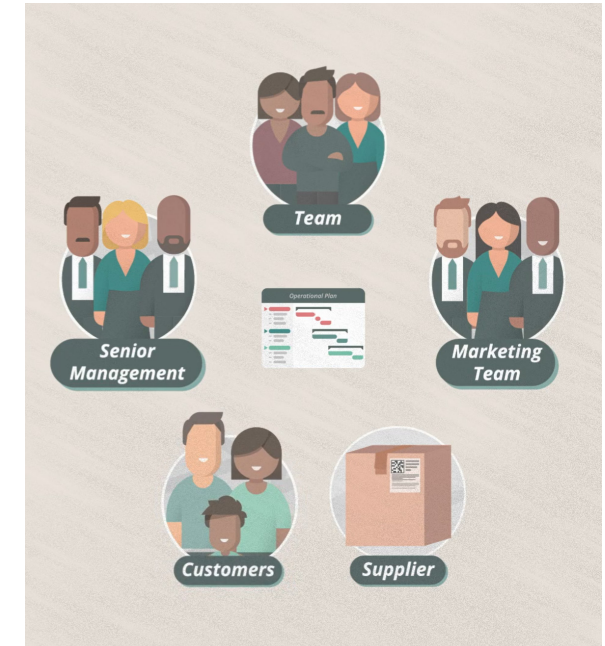
To implement the plan effectively, it's necessary to communicate the details of it to its stakeholders, including the team who will carry it out.



Communicating the Plan

Nigel Slack argues that this communication shouldn't be based on random interactions, and must also be carefully planned. The goal is to send the right information to the right people, at the time they need it. This will ensure that everyone understands the objectives, and the part they play in achieving them.

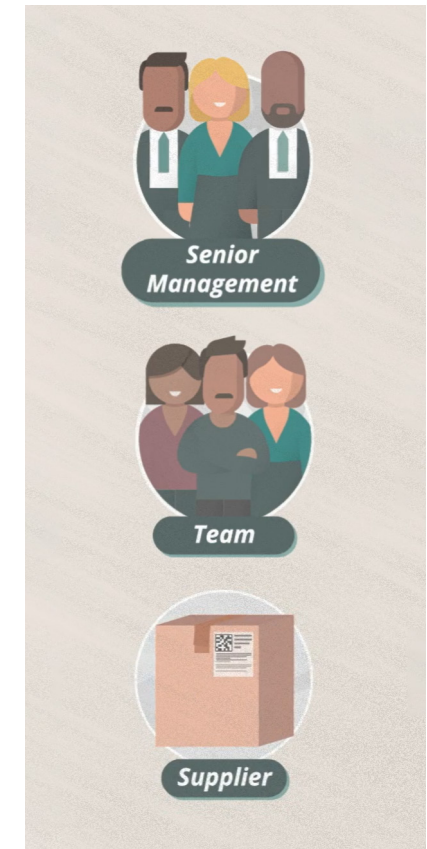
The operational plan won't just involve the team working on it; it will need to be shared with all relevant stakeholders in other parts of the company, and possibly suppliers and customers.



Communicating the Plan (cont.)

As needs will vary, it's important to identify who should receive which information, how often, and in what format.

The senior management team may need information on costs and deliverables at key stages of the implementation. Team members will require more frequent and detailed updates about their activities. And suppliers will need to be informed of any changes that affect their plans. Whoever the stakeholder is, communication with them should be clear, credible and consistent.

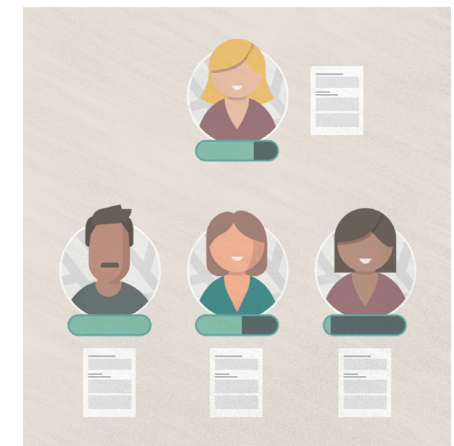
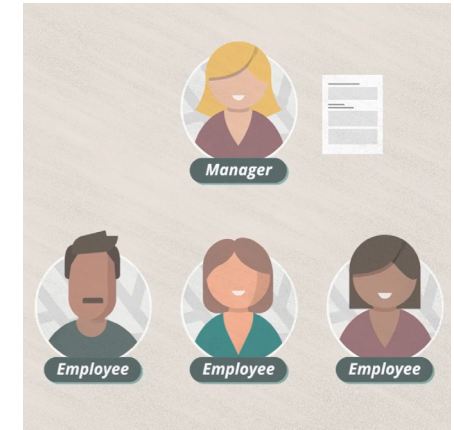


Delegation

Implementing the plan will also involve some form of 'delegation.' This is the process of allocating some of the manager's tasks to nominated team members.

Delegating work allows a manager to reduce some of their workload so they can focus on their more important deliverables. It can speed up the completion of tasks, and, if done well, improve outcomes.

Delegation can also have real benefits for a team member. These include increased knowledge and skills, higher confidence and opportunity to contribute to the department's – or even company's – broader objectives.



Delegation (cont.)

However, careful consideration needs to be given when selecting tasks to delegate. It might be tempting to get rid of the most tedious activities, but these are unlikely to create sufficient challenge or motivation for the team member, and could lead to resentment.

On the other hand, more complicated tasks may be inappropriate to hand over. Ideally, the work should fall somewhere in the middle: straightforward, but with potential to stretch the employee. We can link this back to one of Locke and Latham's Goal-setting principles – objectives should be challenging, but not impossible.

Delegation (cont.)

According to authors William Newman and Charles Warren, the delegation process consists of three steps:

The first step is to assign the work. It's critical to get this right, because although a manager will not be directly responsible for the activity, they will be accountable for its outcome.

This means considering the capabilities of each team member, and then matching these with the appropriate activities. The work should be divided in such a way that no team member becomes overburdened.

At this point, the manager must check that each team member has a clear grasp of the reason for their task, and the actions needed to deliver it.



Delegation (cont.)

The second step is to give the team member the authority to undertake the work, and access to appropriate information so that they can complete it. This might mean allowing them to complete the task in their own way, rather than the way the manager would approach it.

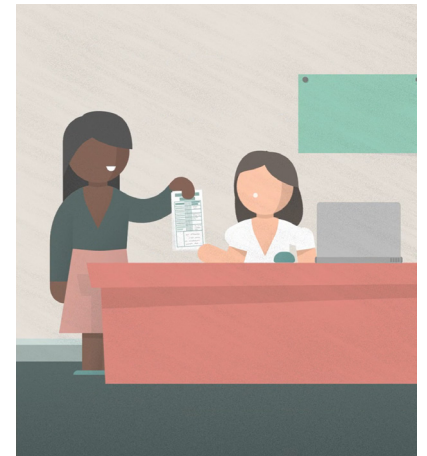
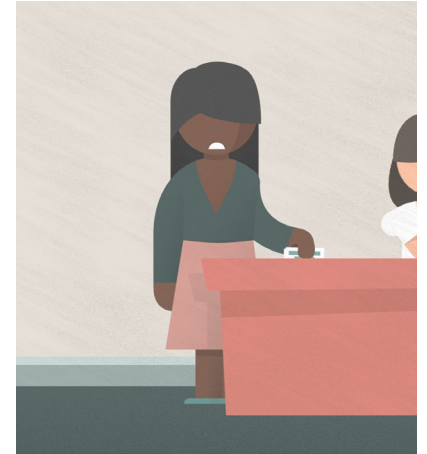
Finally, the manager must ensure that the team member accepts responsibility for their performance of the task – in other words, that they take ‘ownership’ of it.

These last two steps are as essential to effective delegation as the first one.

Resistance to Delegation

If the manager is resistant to handing over authority, they may lose the team member's trust, and cause confusion and delays.

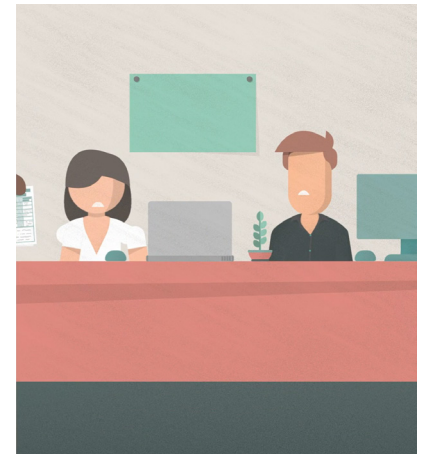
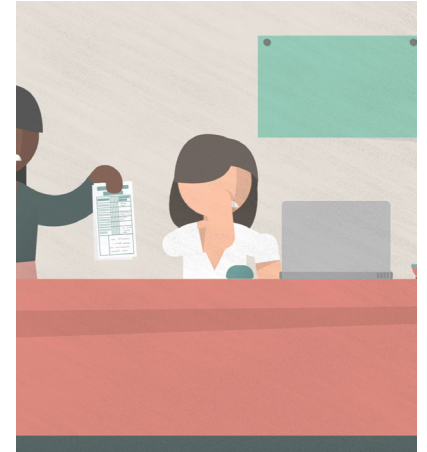
Such resistance is often rooted in the manager's fear that the job won't be done properly, or that delegation is a sign of weakness. If a manager believes that certain activities are key to their personal success, they may find them hard to relinquish.



Resistance to Delegation (cont.)

The team member may also create obstacles to delegation. They may be reluctant to accept the task because they fear failure, or worry they won't get the support they need to complete it. Or they may be concerned that the work will complicate their team relationships.

In this case, the manager will need to make sure the team knows support is available, and reassure employees that it's acceptable to ask for help.



Monitoring

Once the plan is implemented, each part of the operation must be 'monitored' to see if the activities are proceeding as intended.

Monitoring is the supervision of activities in progress to ensure that they are on-course to meet objectives and performance targets.

Ongoing monitoring can confirm that resources are being used effectively. It also provides managers with an early warning system to potential problems. With a timely intervention, these can be mitigated before they have a chance to escalate. In this way, the manager may save time and money as well as improve operations in the long run.

The Golden Triangle

However, for monitoring to be effective, managers must be clear about what needs to be monitored at the outset.

In the 1980s, project management expert Martin Barnes identified three elements – Time, Cost and Quality – that must be balanced when delivering a plan.

If they look familiar it's because they mirror three of the six performance criteria we looked at in lesson 3, with 'time' a variation on 'speed.'

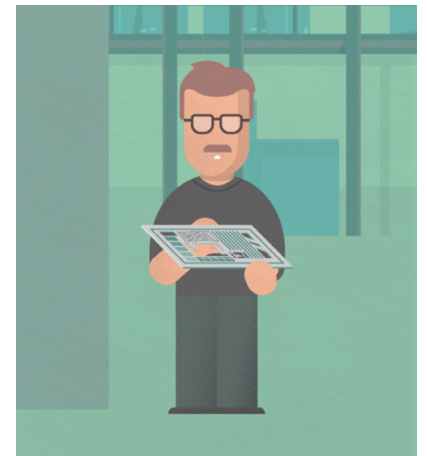
In fact, these are the three most important criteria to consider in both setting targets and monitoring.



The Golden Triangle (cont.)

As we saw earlier, the overarching goals of any plan are to deliver the outcome in the shortest possible time, at the lowest cost and with the highest possible quality. However, it's impossible to optimise all three elements at any one time.

Barnes called these elements 'constraints' because prioritising one will constrain the delivery of the others. For example, reducing the cost of materials in manufacturing, or speeding up assembly of products will likely impact on their eventual 'quality.'



The Golden Triangle (cont.)

As they are connected, the constraints are often shown as the three points of a triangle, and the model is commonly referred to as 'The Golden Triangle' to emphasise its importance.

It's the manager's job to identify where the ideal balance of the constraints lies, and then monitor activities to make sure they align with the targets regarding each aspect.

The Golden Triangle (cont.)

Monitoring time involves checking that work on activities has started, is on schedule and will be completed by the target date.

Monitoring cost includes picking up budget overspends or underspends, and ensuring that resources will be available when needed.

Monitoring quality entails tracking indicators like number of product defects or customer complaints, to make sure standards are being met.

However, monitoring quality can be trickier than the other two aspects. This is because to some degree, quality is in the eye of the beholder, and is subject to the competing views of different stakeholders.

Progress Meetings

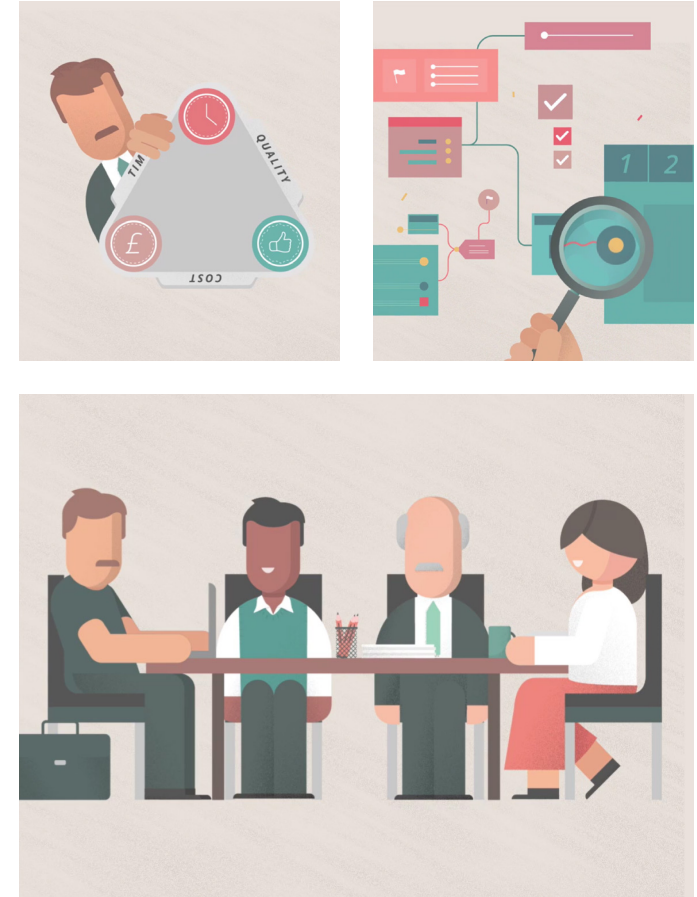
There are a variety of methods managers can use to monitor the elements of the Golden Triangle.

For simple tasks, it may be enough to observe work at regular intervals.

To gain more in-depth information, managers may need to arrange dedicated 'progress' meetings. These allow for an informal exchange on the status of activities between

manager and team; they may be as frequent as the team's availability allows.

Many managers hold weekly or monthly catch-ups with both individual workers and the whole team. However, in teams that follow an 'agile' methodology, which emphasises iteration, it's common to have an update, or 'stand up,' once a day.



Progress Reports

More complex activities may require team members to share information formally – for example, in a ‘progress report.’ These are usually completed by the people to whom the work was allocated.

The information gathered during monitoring can then be collated into a ‘monitoring report’ and communicated to key stakeholders – for example, senior management. Unlike progress reports, monitoring reports are typically compiled by the manager.

These reports summarise which approaches worked well, and how they could be improved in the future. They may also compare performance over different time periods.



Controlling Activities

As well as monitoring time, cost and quality, the manager may control the activities associated with them. 'Controlling' is defined as analysing the progress of activities against the targets set out in the plan, and intervening if they don't align. In some cases, the manager will need to take some form of 'corrective action' to bring activities back on track – for example, by hiring outside help.

However, Nigel Slack argues that a manager's ability to control activities will vary depending on how output is measured, and whether the activities are repetitive or predictable.

For example, a takeaway manager would find it easier to control time in the preparation of food, but delivery – because it involves external factors, like traffic – would be more challenging.

Giving Feedback

As part of their role, operational managers will need to give ‘feedback’ to the team on their implementation of the plan.

In this context, feedback may be defined as the response to a person’s performance of a task, which may be used as a basis for improvement.

Feedback is important because it opens a dialogue with the team; it gives the manager an opportunity to clarify what needs to be done, and to resolve any issues early, before they impact on activities.

And because most people like to know how they are doing, well thought out feedback can be motivating to a team.

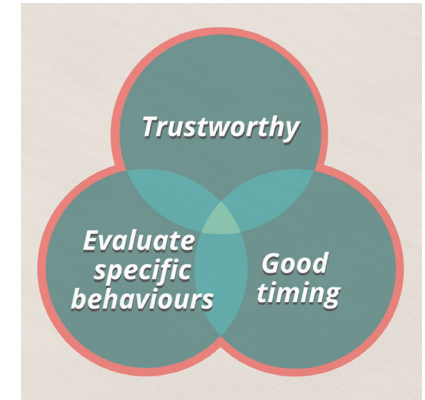
Giving Feedback (cont.)

To deliver these benefits, however, feedback must meet several criteria.

First, it must be trustworthy. The team is more likely to accept feedback if it's based on actual events or observed behaviour, and backed up by evidence. This will be easier to accomplish if the feedback is related directly to a task, and uses agreed measures of performance such as KPIs for comparison.

Second, feedback should evaluate specific behaviours – in other words, it should address not just the outcome of the task, but how it was done.

Finally, it's important to think about the timing. Feedback will have the greatest impact if it's given at key points in the activity – usually at the end of a task, or soon after.



Constructive Feedback

When giving feedback, how it is said is just as important as what is said. Feedback should always be 'constructive' – that is, it should focus on how performance can be improved, rather than dwelling on the employee's failings.

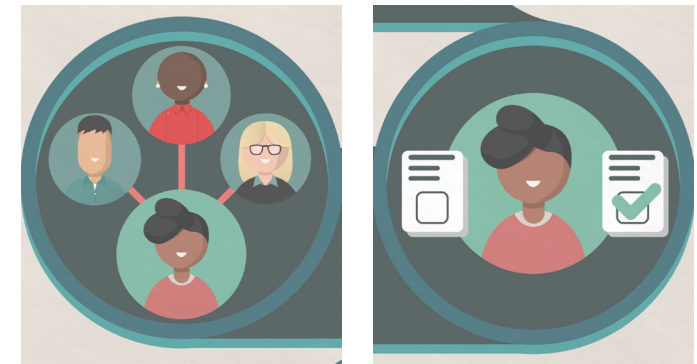
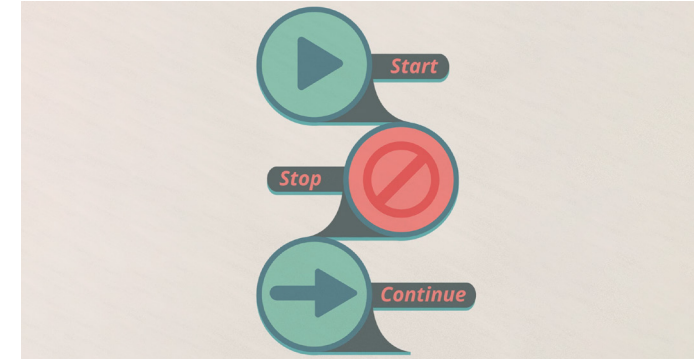
One of the most effective ways to give clear and constructive feedback is through the Start, Stop and Continue framework, which is attributed to author Mark Effron.

These words refer to what the team member is expected to do, based on the feedback they've received.

Constructive Feedback (cont.)

First the manager identifies what the team member should start doing, or do more of, to be successful at the planned activities. For example, 'start looking for more opportunities to collaborate with team members.'

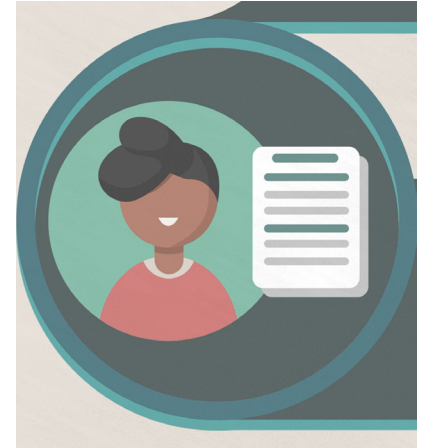
Next, they identify what the team member should stop doing, or do less of, because it has not contributed to the success of the plan. For example, 'stop getting distracted by minor tasks and focus on the critical decisions.'



Constructive Feedback (cont.)

Finally, the manager identifies what the individual should continue doing, because it has worked well and contributed to the plan's success. For example, 'continue to produce your well written and incisive progress updates.' This part of the feedback gives the manager an opportunity to praise the team member, and to reinforce the right approaches and behaviours.

Breaking down feedback in this way helps to ensure that it will be balanced. The framework's action-oriented approach can also generate momentum for improvement. This can be effective with the whole team, as well as with individuals.

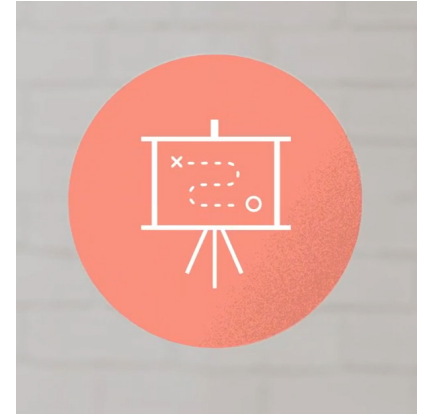


Creating Opportunities for Learning

In addition to feedback, there are other ways a manager can support a culture of improvement.

The first is to create opportunities for learning. It's important for a manager to provide the right conditions for employees to acquire new skills and knowledge, expand their areas of responsibility, or use their existing attributes in new settings. This can be achieved through effective delegation, which can help people contribute to the department more broadly than is possible in their limited roles.

Team members may also benefit from a structured personal development plan, or PDP. This plan sets out what the person needs to learn to improve their current performance, or progress in their career. It's usually put together by the employee, with input from the manager.



Personal Development Plans

The PDP should address what an employee would like to achieve in the short, medium and longer term, and how this can be attained. While formal training, such as a college course, might feature in the plan, it should include all the ways in which an individual's impact can be enhanced, both in their role, and throughout the organisation.

These methods might include further practice, self-directed learning or 'job shadowing' – working alongside a more experienced colleague in another part of the business.

PDPs are one way that managers can actively support learning and create a culture of continuous improvement. Their impact may not be immediate, but they are an investment in the people who will implement future operational plans, and therefore in the plans themselves.

Evaluating Outcomes

The goal of an operational plan is to deliver its outcomes successfully, and on time – a result made easier with careful monitoring by the manager.

However, the outcomes will still need to be ‘evaluated’ to fully understand which objectives have been met, exceeded or not achieved at all.

Evaluation is an assessment of this past performance, comparing the final outcomes against the planned objectives. It’s normally carried out by the operational manager, or individual team leaders if the department is a large one.

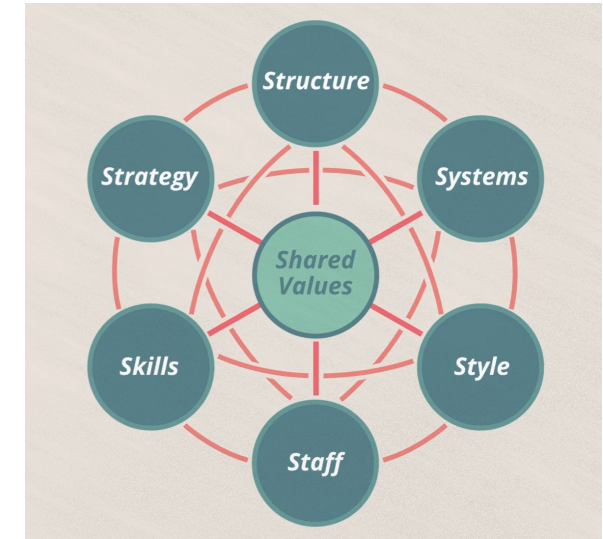
The point is to draw on all the work undertaken during planning and implementation, to gauge how well the objective has been achieved. This will often begin with an overview of KPIs for the aspects we looked at earlier in the lesson: time, cost and quality.

McKinsey 7-S

However, the scope of operational plans can be very broad, and take in the work of many people. Because the plan may touch on the operations of the entire department, a more complex, 'big picture' analysis may be required. In this case, an in-depth framework like the McKinsey 7-S can guide the evaluation and give it some structure.

McKinsey 7-S is a popular strategic model developed in the 1970s by consultants Tom Peters and Robert Waterman. It's often used to analyse entire organisations, but can be applied to a single department or team.

For operational managers, it can be used to evaluate the plan outcomes within the broader context of the department and company.



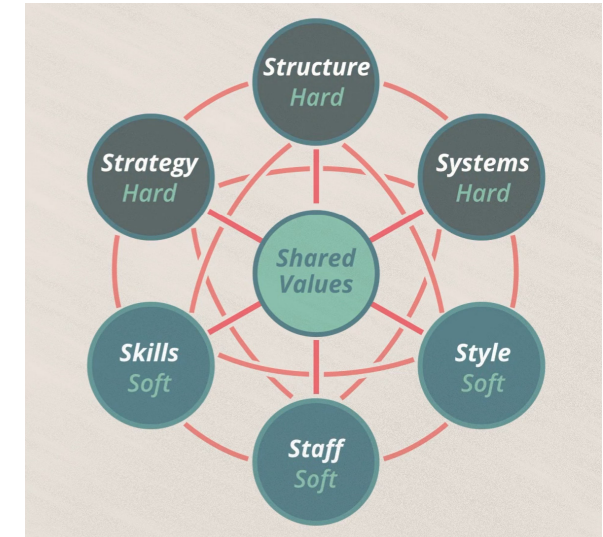
McKinsey 7-S (cont.)

The framework assesses performance across seven internal elements – all starting with the letter S – that can affect the department's functioning. The premise is that these elements should be aligned with one another for performance to be optimal.

Let's look at each element in a little more detail.

At the core of the model are the company's Shared Values. These are the norms and standards guiding employee behaviour. The evaluation needs to consider if these have been consistently applied in the creation and implementation of the plan.

The remaining six elements are divided into 'hard' and 'soft' categories.



Strategy, Structure and Systems

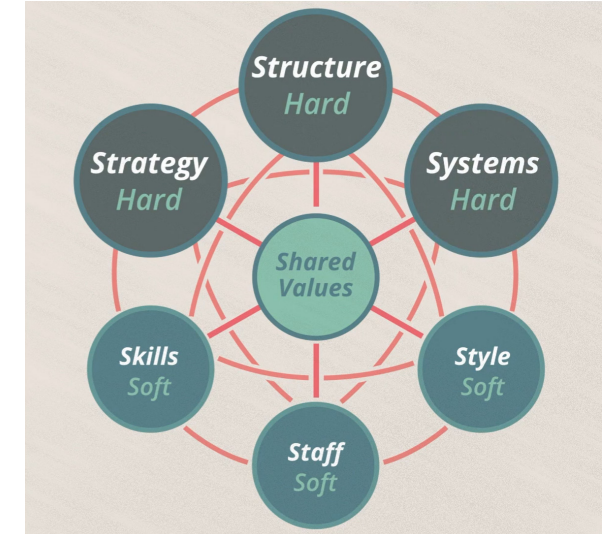
The hard elements consist of Strategy, Structure and Systems.

Strategy refers to the overall competitive approach contained in the plan. This should reflect the company's strategic objectives.

Structure refers to how the department is organised, including who controls decision making and how activities are coordinated.

Systems relates to the processes and procedures that guide the daily activities of implementation.

The analysis should show whether the outcomes of the plan align to the strategic goals of the department and company, and whether its structure and systems aided or harmed the plan.

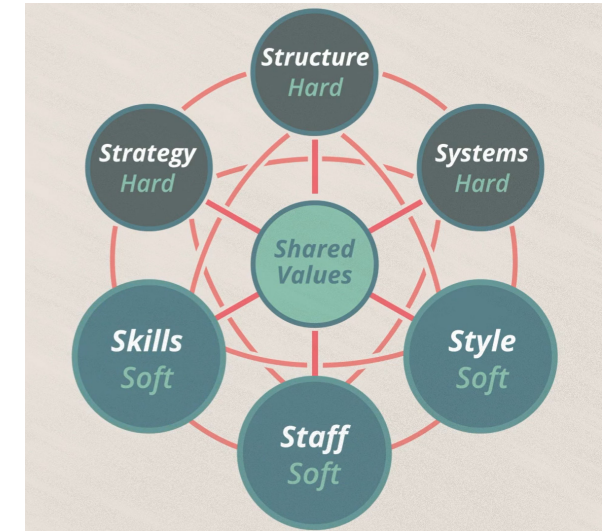


Style, Staff and Skills

The remaining 'soft' categories are made up of Style, Staff and Skills. These should support the hard elements and each other.

Style refers to the company's leadership team, and how their management style and decision-making impacts the department. This could mean direct impact on its performance, or its overall workplace culture.

The Staff category refers to the level and number of team members, and how they are recruited, trained, and rewarded.



Style, Staff and Skills (cont.)

Finally, the Skills element refers to the competencies within the department, and the wider company if those are relevant to the plan.

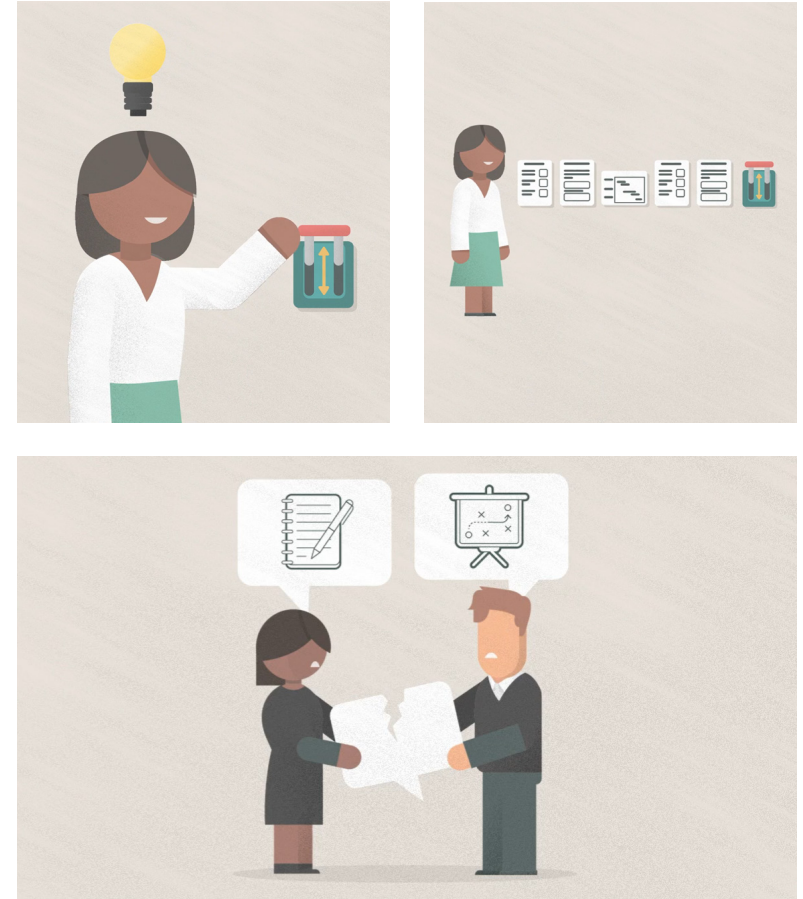
The analysis of these more 'people oriented' categories should help to identify how well the plan utilised talent, and how the department's culture influenced employee behaviour.

Misalignments

Once both sets of elements have been examined, they should be evaluated as a whole. This evaluation should take in the relationships between them, and highlight any gaps, weaknesses or inconsistencies that need to be addressed.

For example, the need to make quick adjustments to the plan may have been inhibited by systems of reporting that were too complex.

Or the recruitment of employees with a different, looser working style, may have caused friction within the existing, more traditional team.

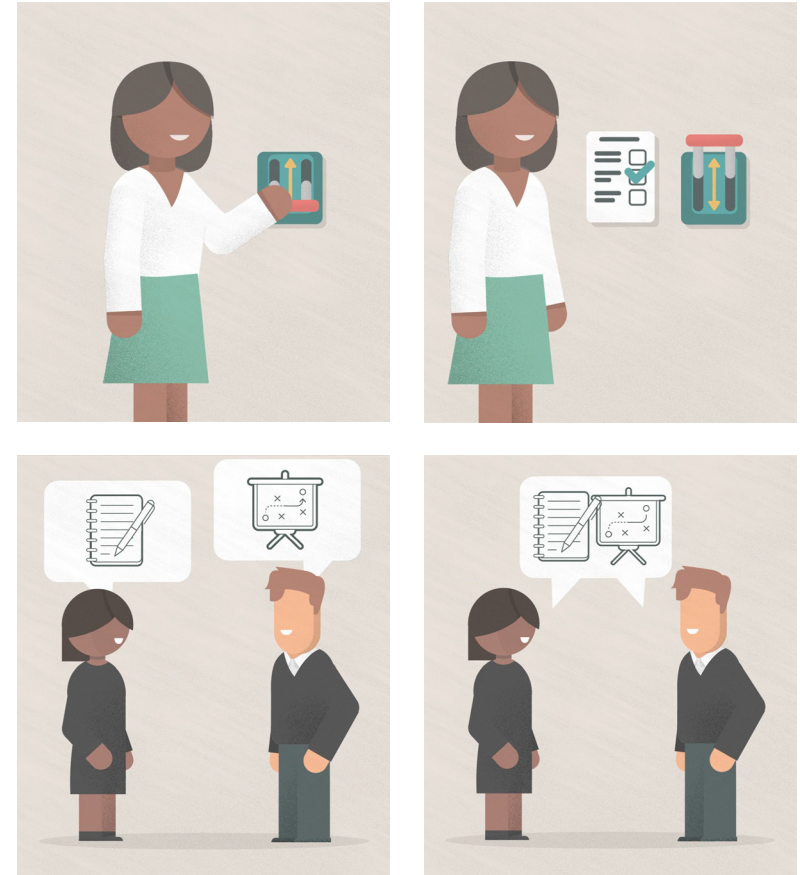


Misalignments (cont.)

These 'misalignments' will need to be addressed to ensure that the department can work in harmony with the rest of the company, and to optimise its future performance.

For the firm with cumbersome reporting systems, this could mean adopting more streamlined procedures, and perhaps investing in new equipment to make this easier.

For the company with differences in working approaches, it could mean improving the onboarding process and creating more opportunities for communication within teams. Ultimately, it may involve modifying the shared values of the organisation in response to these changes.



Gap Analysis

Previously, we saw a 'big picture' approach to evaluation, using the McKinsey 7-S. This is a holistic analysis of the operational plan, which takes the performance of the entire department into account.

However, once shortcomings in one area have been identified, it makes sense to use a precision tool to measure the gap between planned and actual performance.

This tool is known as Gap Analysis, and its ultimate goal is to minimise the difference between the objectives and the outcomes of the plan.

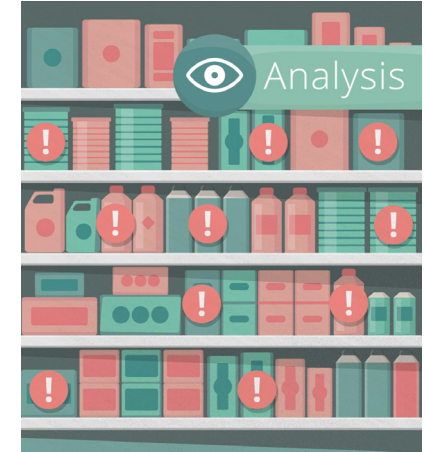
Gap Analysis (cont.)

While there's no standard format, a Gap Analysis typically involves five steps:

First, the manager selects the problem area for analysis – the more specific the better.

For example, a supermarket operations manager might find that perishable products are not being refreshed as often as they should be.

Second, the manager establishes the measurable targets that need to be achieved in the selected area. So the supermarket manager might set a target of 'no more than 5% of products on display at any one time, to consist of soon to expire items.'



Gap Analysis (cont.)

Once the target is agreed, the third step is to clarify the current level of performance. This step should be supported by the collection of data. Data collection can often be the most time consuming part of the evaluation, but it's also vital to tracking progress over time.

Many companies generate large amounts of data, but not all of them are equally useful. The data used in Gap Analysis should always reference the aspects of performance being evaluated. It may be collected from existing internal records, reports or surveys.

In the fourth step, the manager studies the data to identify the shortfall between the current and required performance. This may be quantified using KPIs or other measurable criteria.

So, using data collected by shelf stackers, the supermarket manager might find that the current turnover on expiring items is about 20% below target.



Gap Analysis (cont.)

Finally, the fifth step is to create an action plan to close the gap, and reach the desired outcome. This may then be integrated into the larger operational plan for the next period.

For the supermarket that might mean an extra sweep of the refrigerated section, to bring more products off the shelf on a daily basis.

One valuable form of data which may help improve the plan comes in the form of stakeholder feedback. This can show in detail how performance differed from the expected standard, and therefore help in future plan delivery.



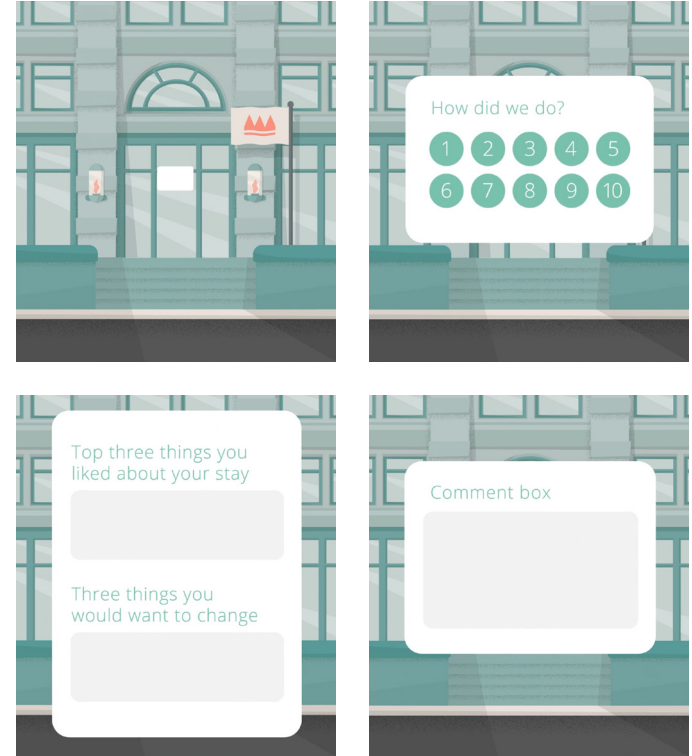
Surveys

Feedback may be elicited through formal methods, like surveys and focus groups, or informal ones like conversations with stakeholders.

The aim in both cases is to identify how stakeholders feel by asking targeted questions.

In surveys, these questions may be quite structured. For example, customers may be invited to rate a hotel on a scale of 1 to 10. Or they may be asked for the top three things they liked about their stay, and the three they most wanted to change.

It's also good practice for surveys to include a comment box, in which the respondent can expand on this information. The higher the level of detail in the feedback, the easier it is for management to act on it.



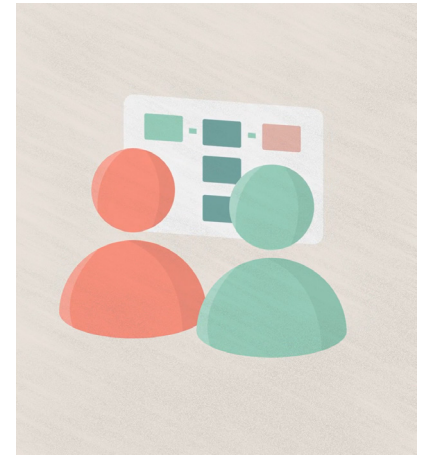
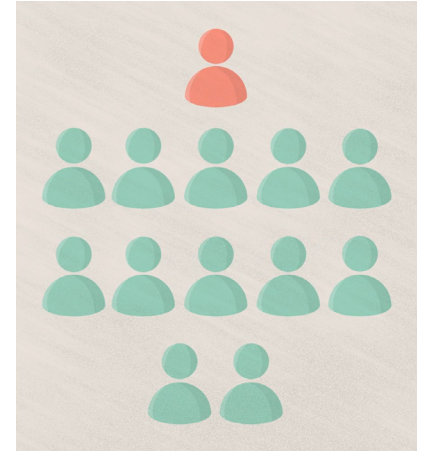
The image displays four panels, each showing a different survey question overlaid on a stylized illustration of a hotel building. The panels are arranged in a 2x2 grid.

- Top Left:** A simple illustration of a hotel building with a flag.
- Top Right:** A survey question "How did we do?" with a rating scale from 1 to 10. The numbers 1 through 10 are displayed in green circles.
- Bottom Left:** Two survey questions: "Top three things you liked about your stay" and "Three things you would want to change". Each question is followed by a light gray rectangular input box.
- Bottom Right:** A survey question "Comment box" followed by a large light gray rectangular input box.

Focus Groups and Conversations

Focus groups have a looser structure. Here the group – usually made up of 6 to 12 people – discuss the questions with a facilitator, who records the session. However, because they are more dynamic than surveys, focus groups can give a more rounded view of the situation.

Finally, there are informal methods, like conversations. These are commonly used with team members and clients. However, some conversations are so important they need more preparation and structure. This more formal category may include interviews and performance reviews.



Acting on Feedback

Whichever method is applied, feedback should be gathered from all the stakeholders with a vested interest in the plan.

The idea is that the more feedback is gathered from diverse sources, the better the outcomes of the subsequent plan will be.

Of course, this can only happen if the feedback is integrated into the functions of the department, so it's critical for managers to act on the feedback they've received.

Recap

In this lesson, you have learned about:

- Importance of communication and effective task delegation
- Monitoring progress and the role of feedback